

Check Your Progress 1

- 1) What are the important differences between banks and NBFIs?

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- 2) State *four* important functions of NBFIs

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- 3) Explain the structure of NBFIs in India.

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- 4) Explain scale-based regulatory mechanisms for NBFCs.

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- 5) What is meant by shadow banking?

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15.6 HOUSING FINANCE COMPANIES (HFCs)

In India, housing finance companies (HFCs) have about one-third of the market share in housing finance (second only to Scheduled Commercial Banks (SCBs). They are corporate entities that operate under the Companies Act of 1956. Their primary focus is providing housing loans or finance through various direct or indirect means. In terms of the amendment made to the National Housing Bank Act, 1987, pursuant the Union Budget announcements for 2019-20, the regulatory powers (including registration of HFCs) of National Housing Bank over Housing Finance Companies (HFCs) were transferred to the Reserve Bank of India (RBI) with effect from

August 9, 2019. Thus, the Reserve Bank plays the role of regulator and ensures that existing HFCs comply with the principal business criteria i.e., net owned fund (NOF) requirements, and maintenance of liquidity coverage ratio (LCR) and capital adequacy ratio (CRAR). According to RBI, to qualify as HFCs, an NBFC must have 50% assets as housing loans 75% of which should be for individual homebuyers.

HFCs play a very significant role as NBFI. Its asset quality, profitability and growth in credit disbursement have recorded an increase in the year 2022-23. With favourable market conditions owing to the government's emphasis on affordable housing, favourable demographics and rising urbanisation, housing demand will experience a significant boost. HFCs are likely to play a significant role in this regard. Some HFCs have successfully operationalised co-lending models (CLM) with banks for housing as well as MSME loans. The inclusion of five HFCs in the upper layer by the Reserve Bank for the year 2023-24 in its scale-based regulatory framework highlights the systemic importance of HFCs in the Indian financial landscape.

Earlier, the National Housing Bank (NHB) was the regulator of HFCs. From 2019 onwards, RBI has laid down guidelines to regulate HFCs in the interest of investors and depositors.

As we have discussed earlier the regulatory structure for Non-Banking Financial Companies (NBFCs) comprises four layers based on their size, activity and perceived riskiness: NBFCs-Base Layer (NBFCs-BL), NBFCs-Middle Layer (NBFCs-ML), NBFCs Upper Layer (NBFCs-UL), NBFCs-Top Layer (NBFCsTL).

Regarding HFCs, RBI has notified that they will be included in the Middle Layer or the Upper Layer (and not in the Base layer), as the case may be. The Upper Layer comprises those HFCs which are specifically identified by the Reserve Bank as warranting enhanced regulatory requirements based on a set of parameters and scoring methodology. The top ten eligible NBFCs (including HFCs) in terms of their asset size always reside in the upper layer, irrespective of any other factor. If RBI is of the opinion that a particular HCF is of significant risk, it can be moved to the top layer from the upper layer. Other HCFs are in the middle layer. Some other regulations are as follows:

- 1) All non-deposit-taking HFCs with asset size of ₹100 crore and above and all deposit-taking HFCs (irrespective of asset size) shall pursue liquidity risk management.
- 2) It should cover adherence to gap limits, making use of liquidity risk monitoring tools and adoption of a stock approach to liquidity risk.
- 3) HFCs shall maintain a liquidity buffer in terms of Liquidity Coverage Ratio (LCR), which will promote their resilience to potential liquidity disruptions by ensuring that they have sufficient High-Quality Liquid Assets (HQLA) to survive any acute liquidity stress scenario lasting for 30 days.

- 4) HFCs lending against the collateral of listed shares shall maintain a Loan-To-Value (LTV) ratio of 50%. For loans granted against the collateral of gold jewellery, HFCs shall maintain an LTV ratio not exceeding 75%.
- 5) HFC cannot accept or renew public deposits unless it has obtained a minimum investment grade rating for fixed deposits from any one of the approved credit rating agencies, at least once a year.
- 6) HFCs to ensure that at all times, there is full cover available for public deposits accepted by them. In case an HFC fails to repay any public deposit or part thereof as per the terms, it shall not grant any loan or other credit facility make any investment or create any other asset as long as the default exists.
- 7) HFCs cannot lend against their shares.
- 8) Every housing finance company shall maintain a minimum Capital Adequacy Ratio (CAR) on an ongoing basis. It shall not be less than 13% as of March 2020, 14% on or before March 2021, and 15% on or before March 2022.
- 9) An HFC also cannot lend to any single borrower exceeding 15% of its owned fund, and any single group of borrowers exceeding twenty-five per cent of its owned fund.
- 10) It also cannot invest in the shares of another company exceeding 15% of its owned funds and in shares of a single group of companies exceeding 25% of its owned funds.
- 11) The aggregate exposure of an HFC to the capital market in all forms (both fund-based and non-fund-based) should not exceed 40% of its net worth as of March 31 of the previous year.

15.7 ALL INDIA FINANCIAL INSTITUTIONS (AIFIs)

All India Financial Institutions (AIFIs) are an institutional mechanism entrusted with providing sector-specific long-term financing. These specialized financial entities serve particular sectors of the economy, including agriculture, housing, infrastructure, and small-scale industries. They are essential in providing long-term funding to support economic development. AIFIs are regulated by the Reserve Bank. There are 5 AIFIs regulated by RBI: the Export-Import Bank of India (EXIM Bank), the National Bank for Agriculture and Rural Development (NABARD), the National Bank for Financing Infrastructure and Development (NABFID), the National Housing Bank (NHB) and the Small Industries Development Bank of India (SIDBI).

Over the years, the role of the AIFIs in the Indian financial system has undergone significant change reflecting the changes in their business models. As the Indian economy grows further, AIFIs are increasingly being seen as key institutions to promote the flow of direct or indirect credit to the economic sectors they cater to. Acknowledging their growing importance, RBI has extended Basil III Capital framework guidelines to AIFIs in 2023-24. Some of the important guidelines are:

- 1) AIFIs will be required to maintain a minimum total capital of 9 per cent by April 2024, wherein minimum tier-I capital will need to be at 7 per cent and common equity tier-I (CET-1) capital at 5.5 per cent. For NHB, the implementation date will be July 2024, given that its accounting year is July–June.
- 2) All financial subsidiaries, except those engaged in insurance and non-financial activities (both regulated and unregulated), will need to be fully consolidated for the purpose of capital adequacy to ensure an assessment of capital adequacy at the group level, taking into account the risk profile of assets and liabilities of the subsidiaries.
- 3) AIFIs' investments in capital instruments of banking, financial, and insurance entities will be capped at 10 per cent of their capital funds. AIFIs will not be allowed to acquire a fresh stake in a bank's or AIFI's equity shares if the acquisition leads to its holding exceeding 5 per cent of the investee's equity capital.
- 4) AIFIs' equity investment in a single entity cannot exceed 49 per cent of the equity of the investee. While AIFIs can hold this entire 49 per cent stake as a pledgee, if the acquisition is against AIFI's claims, the stake will need to be brought below 10 per cent within three years.

15.8 PRIMARY DEALERS (PDs)

The system of Primary Dealers (PDs) in the Government Securities Market was introduced by the Reserve Bank of India in 1995 to strengthen the market infrastructure of Government Securities (G-sec) and put in place an improved, efficient secondary market trading system. This was to encourage the holding of Government Securities on a large scale and make the market more vibrant and liquid. In 2006-07, RBI gave Banks the option to undertake Primary Dealership business departmentally.

Primary Dealers can also be referred to as Merchant Bankers by the Government of India as only they are allowed to underwrite primary issues of government securities other than RBI who have since shed this role. In 2021, there were 21 Primary dealers out of which 14 are bank primary dealers and 7 are standalone primary dealers. RBI expects PDs to play an active role in the G-Sec market, both in its primary and secondary market segments through various obligations like participating in Primary auctions, market making in G-Sec, predominance of investment in G-Sec, achieving minimum secondary

market turnover ratio, maintaining efficient internal control system for fair conduct of business etc. A PD is required to have a standing arrangement with RBI based on the execution of an undertaking and the authorization letter issued by RBI every three years.

Stand-alone PDs are allowed the following activities as core activities:

- Dealing and underwriting in Government securities.
- Dealing in Interest Rate Derivatives.
- Providing broking services in Government securities.
- Dealing and underwriting in Corporate / PSU / FI bonds/ debentures.
- Lending in Call/ Notice/ Term/ Repo/ CBLO market.
- Investment in Commercial Papers.
- Investment in Certificates of Deposit.
- Investment in Security Receipts issued by Securitization Companies/ Reconstruction Companies, Asset Backed Securities (ABS), and Mortgage-Backed Securities (MBS).
- Investment in debt mutual funds where the entire corpus is invested in debt securities.

15.9 ISSUES AND CONCERNS IN THE NBFIs SECTOR

While NBFIs can contribute to the economy, they also bring risks. Given the nature of their operations, NBFIs also carry inherent risks including, excess leverage, amplification of pro-cyclicality and over-reliance on wholesale funding. Given their exposure to niche segments, they may also suffer from the concentration of risks. They are often not allowed the benefit from the central bank as a lender of last resort and from deposit insurance institutions. The only way to control these risks is through proper regulation. Risk will vary depending upon the economic functions performed by NBFIs. The challenge for regulation is striking the right balance between the risks and benefits. On the one hand, too little or no regulation can lead to a crisis and severely impact the vulnerable and the economy. Getting the right balance is a perpetual challenge for financial regulators and supervisors, not only in developing countries but also in developed and advanced economies.

The business model of NBFIs is inherently risk-prone. Weaker underwriting standards, enhanced risk-taking capabilities and increased complexity of their activities cause concerns. Besides the riskiness of the business model, NBFIs are exposed to key risks emanating from regulatory gaps, arbitrage and contagion effects. NBFIs are more prone to systemic risks on account of the concentration of exposure to specific sectors. Also, since these entities are more dependent on funding from commercial banks, both directly and

indirectly, the interconnectedness risk tends to be higher. Their asset-liability mismatches accentuate liquidity risks. These risks can quickly escalate as solvency risks and lead to systemic risk as well. Therefore, careful and continuous monitoring is still required to detect any increases in systemic risk factors (e.g. maturity liquidity transformation, and leverage) that could arise from the rapid expansion of credit provided by the non-bank sector. The report of the working group on the Issues and Concerns in the NBFC Sector (*Thorat Committee, August 2011*) has suggested reducing clutter and possibilities of arbitrage. It recognizes the regulatory priorities, the fundamental differences with the banking system and the arbitrage points to be plugged. All the prudential norms applicable to banks should apply to NBFCs as well.

Besides that, NBFIs also face various challenges in terms of huge competition from banks, data security threats, dependence on banks for funding etc.

Check Your Progress 2

- 1) What are Housing Finance Companies (HFCs)? How are they regulated by RBI?

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- 2) Explain the guidelines by RBI issued for All India Financial Institutions (AIFIs).

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- 3) Discuss some issues and concerns related to NBFIs in India.

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15.10 LET US SUM UP

NBFIs, also known as shadow banks, fill the gaps in financial services that otherwise occur in bank-based financial systems. They are doing functions akin to that of banks, however, there are a few differences. NBFIs complement commercial banks by providing services that are not well suited to banks. *NBFIs play a range of roles.* They foster a risk management culture by encouraging those who are least able to bear risk to sell those risks to those better able to manage them. Thus, they broaden the spectrum of risks

available to investors. They encourage investment and savings and improve the efficiency of investment and savings. They can enhance the resilience of the financial system to economic shocks.

NBFCs are fast emerging as an important segment of the Indian financial system. It is a heterogeneous group of institutions (other than commercial and cooperative banks) performing financial intermediation in a variety of ways, like accepting deposits, making loans and advances, leasing, hiring purchases, etc. They have broadened and diversified the range of products and services offered by the financial sector. Thus, gradually, they are being recognised as complementary to the banking sector due to their customer-oriented services; simplified procedures; attractive rates of return on deposits; flexibility and timeliness in meeting the credit needs of specified sectors; etc. NBFIs are a heterogeneous category of financial institutions. They comprise non-banking financial companies (NBFCs), Housing Finance companies (HFCs), All India financial institutions (AIFIs), and Primary dealers (PDs). Since 2023, The Reserve Bank of India has regulated NBFIs under Scale Based Regulation. The regulatory structure for Non-Banking Financial Companies (NBFCs) comprises four layers based on their size, activity and perceived riskiness. NBFCs in the lowest layer are known as NBFCs-Base Layer (NBFCs-BL). NBFCs in the middle layer and upper layer are known as NBFCs-Middle Layer (NBFCs-ML) and NBFCs Upper Layer (NBFCs-UL), respectively. The Top Layer is ideally expected to be empty and is known as NBFCs-Top Layer (NBFCs-TL).

15.11 KEY WORDS

Economies of Scale : Large size of the asset portfolios enables the financial intermediaries to reap various economies of scale in portfolio management. The main economies are:

- a) reduction of risk through portfolio diversification;
- b) employment of efficient and professional managers;
- c) the low administrative cost of large loans and
- d) low costs of establishment, information and transactions.

Financial intermediation : A financial intermediary is a *financial institution* that connects surplus and deficit agents. An entity that acts as the middleman between two parties in a financial transaction. While a commercial bank is a typical financial intermediary, this category also includes other financial institutions such as investment banks, insurance companies, broker-dealers, mutual funds and pension funds. Financial

intermediaries offer several benefits to the average consumer including safety, liquidity and economies of scale.

Hire purchase : It is the legal term for a contract, in which persons usually agree to pay for goods in parts or a percentage at a time.

Insurance Company : It is a company that offers insurance policies to the public, either by selling directly to an individual or through another source such as an employee's benefit plan. An insurance company is usually comprised of multiple insurance agents. An insurance company can specialize in one type of insurance, such as life insurance, health insurance, or auto insurance, or offer multiple types of insurance.

Investment Companies : They are business entities, both privately and publicly owned, that manage, sell, and market funds to the public. They typically offer investors a variety of funds and investment services, which include portfolio management, record-keeping, custodial, legal, accounting and tax management services.

Leasing : It is a process by which a firm can obtain the use of certain fixed assets for which it must pay a series of contractual, periodic, tax-deductible payments. The *lessee* is the receiver of the services or the assets under the *lease* contract and the lessor is the owner of the assets. The relationship between the tenant and the landlord is called a tenancy and can be for a fixed or indefinite period (called the term of the lease). The *consideration* for the lease is called *rent*.

Microfinance : It is usually understood to entail the provision of financial services to micro-entrepreneurs and small businesses, which lack access to banking and related services due to the high transaction costs associated with serving these client categories. The two main mechanisms for the delivery of financial services to such clients are (1) relationship-based banking for individual entrepreneurs and small businesses; and (2) group-based models, where several entrepreneurs come together to apply for loans and other services as a group.

Mutual fund: is a mediator that brings together a group of people and invests their money in stocks, bonds and other securities. Each investor owns shares, which

represent a portion of the holdings of the fund. Thus, a mutual fund is one of the most viable investment options for the common man as it offers an opportunity to invest in a diversified, professionally managed basket of securities at a relatively low cost.

Shadow Banking : Shadow banks are those entities which performs activities (fully or partially) outside the regular banking system. The shadow banking sector in India primarily includes NBFCs

Systemic risk : In finance, systemic risk is the risk of collapse of an entire financial system or entire market, as opposed to risk associated with any one individual entity, group or component of a system. It can be defined as “financial system instability, potentially catastrophic, caused or exacerbated by idiosyncratic events or conditions in financial intermediaries”. It refers to the risks imposed by interlinkages and interdependencies in a system or market, where the failure of a single entity or cluster of entities can cause a cascading failure, which could potentially bankrupt or bring down the entire system or market.

15.12 SOME USEFUL BOOKS AND REFERENCES

- Bhole, L M and Jitendra Mahakud (2017): ‘*Financial Institution and Markets*’, 6th edition, Chapters 15 and 16, Tata McGraw-Hill Education Pvt. Ltd., New Delhi
- Gupta, Suraj B. (1985): *Monetary Economics: Institutions, Theory and Policy*, S. Chand and Company, New Delhi (Chapter 3 & 10).
- Gurusamy, S. (2009): *Financial Services and Markets*, Thomson, New Delhi (Chapter 29).
- Khan, M Y (2017): ‘*Indian Financial System*’, 10th edition, Tata McGraw-Hill Education Pvt. Ltd., New Delhi
- Reserve Bank of India:
 - a) Annual Report (various issues)
 - b) Report on Trend and Progress of Banking in India, 2022-23
- Neelima, K M and Anand Kumar (2017): Non-Banking Finance Companies in India’s Financial Landscape, *RBI Bulletin*, October

15.13 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) NBFIs are a heterogeneous category of financial institutions. Banks form a homogeneous group doing banking business. the Reserve Bank has classified varieties of specific types of NBFIs separately and regulates each such type differently, Credit creation activities of the banks involve less time, while the lending activities of the non-bank intermediaries involve longer time.
- 2) mobilization of savings, channelization of funds into investment, brokers of loanable funds, stabilize the capital market.
- 3) They comprise non-banking financial companies (NBFCs), Housing Finance companies (HFCs), All India financial institutions (AIFIs), and Primary dealers (PDs).
- 4) Refer to Sub-section 15.5.3

Check Your Progress 2

- 1) Corporate entities that operate under the Companies Act of 1956. Their primary focus is providing housing loans or finance through various direct or indirect means. Regarding HFCs, RBI has notified that they will be included in the Middle Layer or the Upper Layer.
- 2) RBI has extended Basil III Capital framework guidelines to AIFIs in 2023-24.
- 3) Refer to Section 15.9

15.14 TERMINAL QUESTIONS

- 1) Describe the functions and working of NBFCs in India.
- 2) NBFCs are doing functions similar to banks. What is the difference between banks & NBFCs?
- 3) Analyse the role of the Reserve Bank in regulating NBFCs in India.
- 4) What are the different types/categories of NBFIs registered with RBI? Does the Reserve Bank regulate all NBFCs?
- 5) Explain the regulatory mechanism of NBFIs in India.